CORPORATE LAWS AND PRACTICES

Suggested Answers
November-December 2025

Answer to the Question# 1(a):

Requirement (i):

Statutory Thresholds:

Under Section 392C of the Companies Act 1994 (as amended in 2020):

- Paid-up capital for OPC must be between BDT 25 lakh and BDT 5 crore; and
- Annual turnover must be between BDT 1 crore and BDT 50 crore in the preceding year

Karim Tech OPC Ltd. has:

- Exceeded turnover limit (BDT 52 crore) ;
- The upper capital limit not exceeded (BDT 4.8 crore)

Legal implications:

- As per law, Karim Tech OPC Ltd need not to be converted into a private limited company as its paid-up capital is still within the statutory threshold and the recommended conversion of the law is when both the thresholds are exceeded.

Requirement (ii):

Governance and Nominee Management

- The sole shareholder must nominate a natural person.
- If the nominee withdraws consent, a replacement must be filed with RJSC.
- The OPC shall hold 02 Board meetings in a year;
- The OPC shall submit its Balance Sheet within 180 days of the completion of Financial year

Karim Tech's Breach of Governance and Nominee Management

- No replacement of the nominee registered after withdrawal of its consent which is a mandatory as per section (Section- 392B(6).
- The company has not held any formal board meetings, but 2 (two) Borad meetings are mandatory as per section (Section- 392F)
- As per question, the company has not submitted its financial statements to RJSC within the stipulated 160-day period, but it should be submitted within 180 days of the completion of Financial year, so still it has opportunity to submit now. (Section 392I)

Requirement (iii):

Filing Obligations with RJSC

Annual Filing Requirements:

- Financial statements must be submitted to RJSC within 180 days of fiscal year-end.
- Must include balance sheet, profit & loss account, and director's signature.

Karim Tech's Breach:

- Missed the 160-days from the deadline of 180 days but still remining 20 days (Section 392I).
- No board meetings held but two Board meetings are mandatory ((Section- 392F)
- Replacement of the nominee and its related changes in the Articles and communication the Registrar. 392B(8)

Requirement (iv):

Legal Consequences of Non-Compliance

- Fines and penalties under the Companies Act
- Loss of limited liability protection if the corporate veil is pierced due to fraudulent or negligent conduct
- Ineligibility for future OPC formation (a person can only form one OPC at a time)
- Reputational damage and banking/investment risks due to poor compliance history

Answer to the Question# 1(b)(i):

Yes, the action violates the provisions of the Companies Act, 1994.

According to section 2(1)(h) of the Companies Act, 1994, a private company:

- Limits the number of its members up to 50, excluding the employees.
- Prohibits any invitation to the public to subscribe for shares.

Since the Board issued shares to the public who are not existing shareholders of the company, it breached the provision of the clauses of Articles of Association of the Company as well as (maybe) breaching the legal limitation of members of a private company. But the allotment may also be valid if the existing members renounces

to take new allotment of the shares, if the shares are allotted without invitation to the public and if the number of members of the company including the new members are within 50 and the allotment is approved in the Board of the Company.

Answer to the Question# 1(b)(ii):

No, the allotment is not valid due to the following reasons:

- Any issue of shares without offering to the existing shareholders in a private company is restricted.
- Number of shareholders is limited to 50
- Invitation to public for subscription of shares is prohibited.

But the allotment may also be valid if the existing members renounces to take new allotment of the shares, if the shares are allotted without invitation to the public and if the number of members of the company including the new members are within 50 as well as the allotment is approved in the Board of the Company.

Answer to the Question# 1(b)(iii):

No, Mr. X cannot enforce his rights as a shareholder even though the allotment may have breached the Articles and the allotment is invalid.

- Even though he has paid for the shares and attended meetings, an invalid allotment does not confer legal shareholder status.

Answer to the Question# 1(b)(iv):

The existing shareholders can:

- Existing shareholders may write to the Board to cancel the allotment and refund the money to the new allottee.
- File a civil suit or petition under section 233 of the Companies Act for cancellation of the allotment and demand action against the directors for breach of fiduciary duty under the Act (if necessary).

Answer to the Question# 1(b)(v):

The doctrine of Indoor Management or Constructive Notice may work against Mr. X.

- Doctrine of Constructive notice means anyone dealing with a company is assumed to know its Memorandum and Articles and the laws.
- Mr. X should have known that the company could not issue shares to the public.

On the other hand, the doctrine of Indoor Management means people outside a company are entitled to assume that the company's internal rules and procedures have been properly followed — even if they actually weren't. Outsiders are not required to investigate internal irregularities.

However, it depend on the legal compliances by the board of directors of the Company which is not fully disclosed in this case.

Answer to the Question# 1(c)(i):

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No, legal heirs do not automatically become directors. Under Sections 91 of the Companies Act, 1994 appointment of a director is not inheritable. The directors are :

- appointed by the shareholders in a general meeting, or
- appointed by the existing Director in case of casual vacancy (Secion-91(1) C)

Heirs of deceased person should collect succession certificates from the court for transmission of shares as per Articles of Association then the heirs can be the members replacing the deceased members. They can also be appointed as directors to fill up the casual vacancy as per Articles of Association of the company.

Therefore, the heirs cannot claim automatic directorship without their succession certificates from the court.

Answer to the Question# 1(c)(ii):

Court Remedies: Under Section 85(3) the court may:

- Order for holding of AGM/EGM which is elapsed.
- Pass orders necessary to restore company management

The court may also issue succession certificates for replacement of deceased shareholders and order to fill up the casual vacancy of the directors as per the Companies Act and Articles of the Company. The court also may declare actions of sole director invalid if ultra vires. It depends on the grounds of application to the court.

Answer to the Question# 2(a)(i):

Prospectus Disclosure Violations: Innova Textiles PLC violated disclosure requirements under the Securities and Exchange Ordinance 1969 and Public Issue Rules 2015 by presenting non-binding MoUs as firm contracts, overstating revenue projections by 35%, and omitting a pending environmental lawsuit amounting to Tk. 85 million. These misstatements relate to material information, as they directly influenced investor decisions and market pricing.

Answer to the Question# 2(a)(ii):

Civil misrepresentation occurs when misleading statements are made negligently, giving rise to civil liability and compensation claims. Criminal fraud, on the other hand, involves deliberate concealment or falsification of material facts with intent to deceive investors and attracts penal consequences. In this case, inflated projections may amount to civil misrepresentation, while concealment of litigation and false contract disclosure may constitute criminal fraud.

Answer to the Question# 2(a)(iii):

To prevent recurrence, auditors must verify the enforceability of contracts and contingent liabilities, issue managers must conduct independent due diligence, and directors must approve prospectuses only after ensuring full, fair, and accurate disclosure.

Answer to the Question# 2(b)(i):

IPO Pricing and Fair Value Assessment
Fair IPO Price Calculation

Particulars	Amount
Earnings Per Share (EPS)	Tk. 5.60
Industry Average P/E	6.5
Fair IPO Price (EPS × P/E)	Tk. 36.40

Answer to the Question# 2(b)(ii):

The proposed issue price of Tk. 40 exceeds the calculated fair value. Under the Public Issue Rules 2015, IPO pricing must be justified based on reasonable valuation benchmarks.

Answer to the Question# 2(b)(iii):

Unless strong, verifiable fundamentals support the premium, such pricing may lead to post-listing volatility and undermine investor confidence. Ethical pricing requires conservatism to protect retail investors and ensure market stability.

Answer to the Question# 2(c)(i):

Insider Trading – Unlawful Profit Calculation
Profit Computation

Trader	No. of Shares	Buy Price (Tk.)	Sell Price (Tk.)	Profit per Share (Tk.)	Total Profit (Tk.)
CEO	100,000	60	95	35	3,500,000
Brother	50,000	62	95	33	1,650,000
Total Profit					5,150,000

Answer to the Question# 2(c)(ii):

Total Insider Gain: This case breaches the Securities and Exchange Commission (Prohibition of Insider Trading) Rules, 1995, as the CEO traded while in possession of unpublished price-sensitive information and unlawfully tipped his brother. Such conduct undermines market integrity and investor confidence.

Answer to the Question# 2(c)(iii):

Appropriate enforcement measures include disgorgement of illegal profits, imposition of monetary penalties, and disqualification from board or managerial positions.

Answer to the Question# 2(d)(i):

i) Insider Trading

Buying shares before disclosure and selling after publication violates:

Section 17A, Securities and Exchange Ordinance (SEO) 1969 which prohibits trading based on non-public price-sensitive information.

(ii) Leakage of PSI

Sharing unpublished PSI violates:

- Rule 12(3), Securities and Exchange Rules, 1987 – No dissemination of false/misleading PSI.
- Corporate Governance Code 2018 – Condition 1(5)(vi) – Board must ensure proper PSI disclosure.

(iii) Fraudulent Misstatement in Prospectus

Inflated revenue and misleading EPS violate:

- Section 18, SEO 1969 (False statements in documents submitted to BSEC).
- Public Issue Rules, 2015 (Must disclose accurate financials and risk factors).

(iv) Collusion for market manipulation

- Section 17, SEO 1969 – Creating artificial price and inducing others to trade.

Answer to the Question# 2(d)(ii):

The Issue Manager is liable for:

(i) Unauthorized disclosure of PSI:

Violation of:

- Public Issue Rules 2015 (Issue managers must maintain confidentiality of draft prospectus).
- Rule 12, SEC Rules 1987 (No leaking of price-sensitive information).

(ii) Aiding & abetting insider trading:

- Considered "persons associated with securities transactions" under Section 2A, SEO 1969.
- Liability under Section 17A for helping insiders benefit from PSI.

(iii) Professional Misconduct:

- Violates BSEC Issue Manager and Underwriter Regulations (ethics, due diligence, integrity duties).

(iv) Due Diligence Failure:

- Did not verify inflated EPC contracts and manipulated financials:
  - Public Issue Rules 2015 require issue managers to verify the authenticity of disclosures.

Answer to the Question# 2(d)(iii):

(i) Issuing a false audit report

- Violates Section 18, SEO 1969.
- Violates Financial Reporting Act 2015 (FRA):
  - professional negligence,
  - fraud,
  - conflict of interest.

(ii) Compromised Independence:

- Accepting "consulting fees" violates:
  - Corporate Governance Code 2018 – Condition 1(5)(vii) (auditor independence),
  - ICAB audit independence standards.

(iii) Suppression of Internal Audit Report:

- Violates:
  - Companies Act 1994 (true & fair view requirement),
  - FRA 2015 (misconduct for concealing information).

Answer to the Question# 2(d)(iv):

(i) For Board & Management:

Under Section 22, SEO 1969:

- Fines as it deemed fit as per law and the nature of offence
- Freezing of BO accounts,
- Banning from capital market for particulars period of time
- Criminal prosecution

(ii) For Issue Manager:

- Cancellation of license under Public Issue Rules 2015,
- Financial penalty,
- Suspension from handling IPOs,
- Blacklisting.

(iii) For Auditor:

Under FRA 2015:

- Suspension/cancellation of audit practicing license,
- Monetary fines,
- Possible imprisonment for audit fraud (if deliberate).

Under SEO 1969:

- BSEC may impose monetary penalties and ban from auditing listed companies.

Answer to the Question# 2(d)(v):

1. Mandatory PSI Handling Policy for all listed companies.
2. Real-time monitoring of unusual pre-announcement trading.
3. Penalize issue managers who ignore due diligence.
4. Auditor rotation every 3 years.
5. Random forensic audits during IPO processing.

Answer to the Question# 3(a):

Auditor Independence and Professional Ethics: Under the Financial Reporting Act 2015 and the FRC Code of Ethics, auditor independence requires both independence of mind and independence in appearance. Auditors must remain objective, free from conflicts of interest, and avoid situations that create self-review, familiarity, or advocacy threats.

In this case, the audit firm provided non-audit services (tax planning and internal control advisory) while acting as statutory auditor. This creates a self-review threat, as the firm may later audit its own work. In addition, the participation of the CFO, a former partner of the audit firm, in audit committee meetings and review of audit papers creates a familiarity and intimidation threat. These factors collectively compromise auditor independence, objectivity, and the credibility of the audit opinion, making the audit ethically weak and regulatorily questionable.

Answer to the Question# 3(b):

Powers and Functions of the Financial Reporting Council (FRC): Under the Financial Reporting Act 2015, the FRC has the authority to regulate auditors, audit firms, and financial reporting practices. Its powers include conducting inspections, reviewing audit quality, enforcing ethical standards, and ensuring compliance with professional requirements.

Where violations are found, the FRC may impose disciplinary actions, including issuing warnings, imposing monetary penalties, suspending audit licenses, or removing firms from the FRC-approved auditor list. In serious cases, the FRC may refer matters for further legal action. These powers are designed to protect public interest and uphold audit quality.

Answer to the Question# 3(c):

Importance of Reporting Discipline and Recommended Framework: Strong reporting discipline is essential for transparency, investor confidence, and market credibility. Weak audit documentation, lack of professional skepticism, and incomplete independence disclosures undermine trust in financial statements and capital markets.

To address these risks, EverGreen Holdings PLC should strengthen its governance framework by ensuring:

- An independent and effective audit committee
- Annual auditor independence declarations
- Strict separation between audit and non-audit services
- FRC-aligned disclosure and reporting practices
- Clear accountability of management, auditors, and the Board

Such a framework will ensure ethical compliance, regulatory alignment, and long-term stakeholder confidence.

Answer to the Question# 4(a)(i):

<u>Violation of Lending Norms & Related Party Loans:</u>

- Section 27(1) strictly prohibits sanctioning loans to companies where directors have substantial interest without prior approval from Bangladesh Bank.
- The shell companies connected to two directors clearly represent a conflict of interest, violating both fiduciary duty and prudential norms.

Failure to Maintain Statutory Liquidity Reserve:

As per section 33 of The Banking Companies Act, 1991 failure to maintain the required SLR and CRR is a regulatory breach. It compromises financial stability and depositors' protection.

Answer to the Question# 4(a)(ii):

Bangladesh Bank's Power to Act:

Under Sections 46(1), 47(1), Bangladesh Bank can:

- Remove any director or the Managing Director if the bank is run in a manner harmful to depositors or in violation of the Act.
- Dissolve the board and appoint an administrator to take over the management.

Answer to the Question# 4(a)(iii):

Illegal dividend declaration:

Section 22 prohibits dividend declaration unless the all expenses, including losses are fully written off and there is real profit for dividend declaration.

Unity Bank had operating losses and SLR shortfall, the dividend payment is unlawful and may result in regulatory penalties and director disqualification.

Answer to the Question# 4(a)(iv):

Hiding information from Bangladesh Bank:

- Section 44 empowers Bangladesh Bank to inspect records, to ask for any record and information to any officials of any bank
- Deliberately hiding or falsifying reports is a serious offence — potentially justifying:

- Administrative penalties under Section 44;
- Removal of officials or any orders as it thinks necessary.
- May issue such orders or take such action as the Bangladesh Bank may consider appropriate for the protection of the interests of the depositors.

Answer to the Question# 4(a)(v):

Personal Liability of Directors:

Directors may be held personally liable for negligence, breach of trust, or misuse of position, particularly under section 46 :

- Removal from his position
- Recovery of losses of Bank

May also face civil or criminal action under other laws like:

- The Penal Code (fraud, concealment),
- Money Laundering Prevention Act,
- Company Law provisions on director misconduct.

Conclusion:

Unity Bank's board and management have committed multiple violations of the Banking Companies Act, 1991. Bangladesh Bank has the authority to:

- Remove key personnel,
- Recovery of losses of the bank,
- Impose monetary penalties,
- Direct criminal proceedings,
- And place the bank under administrative supervision.

Both the board and the management may be jointly and severally liable, especially due to lack of disclosure, insider lending, and fraud.

Answer to the Question# 4(b)(i):

Capital Adequacy Ratio (CAR)
CAR Calculation

Particulars	Amount (Tk. million)
Tier-1 Capital	8,000
Tier-2 Capital	2,000
Total Regulatory Capital	10,000
Risk-Weighted Assets (RWA)	90,000

CAR Formula:

- CAR = (Total Capital ÷ RWA) × 100
- Calculation: CAR = (10,000 ÷ 90,000) × 100
  CAR = 11.11%

Compliance with Regulatory Requirement: Bangladesh Bank requires a minimum CAR of 12.5% under Basel III Guidelines 2023. The bank's CAR of 11.11% is below the regulatory minimum, indicating non-compliance.

Answer to the Question# 4(b)(ii):

Capital Shortfall

Particulars	Amount (Tk. million)
Required Capital (12.5% of 90,000)	11,250
Existing Capital	10,000
Capital Shortfall	1,250

Answer to the Question# 4(b)(iii):

Implications of Undercapitalization: Undercapitalization restricts the bank's ability to expand credit, as Bangladesh Bank may impose limits on loan growth. Dividend declarations may be prohibited or restricted under the Bank Companies Act 1991, as capital conservation becomes mandatory. Persistent capital weakness also damages the bank's regulatory credibility, increases supervisory scrutiny, and erodes market confidence among depositors and investors.

Answer to the Question# 5(a):

Declaring Mr. Karim a Willful Defaulter:
If a borrower fails to repay a loan :

despite having financial ability;
took loan by fraud or deception or providing false information;
uses loan for other purposes;
transfers of security without permission;

On the basis any ground above, the financial institution may classify the borrower as a willful defaulter under section 30 of Finance company Act 2023 following some further conditions.
However, Bangladesh Bank has also issued detailed guidelines that such classification must follow due process, including:

- Providing notice to the borrower
- Allowing the borrower to respond
- Seeking approval of the Board of the company.

Once these steps are followed, the institution can report the willful default status to Bangladesh Bank, and then Bangladesh Bank may allow the name to be published publicly.

Therefore, Mr. Karim's argument is partially correct — the institution cannot directly publish his name without following due process and Bangladesh Bank's approval.

Answer to the Question# 5(b):

Legal action for recovery:

As per section 30 of the Act, an NBFI has the right to:

- Take legal steps for recovery,
- File cases before the Artha Rin Adalat (Money Loan Court),
- Use collateral to recover dues if secured.

Thus, XYZ Finance Limited is legally empowered to initiate recovery action without requiring prior approval from Bangladesh Bank, as long as the loan agreement and regulatory process are followed.

Conclusion:

XYZ can classify Mr. Karim as a willful defaulter after following proper procedures, but cannot publish his name publicly without BB's approval.

XYZ can file a recovery suit against Mr. Karim without prior BB approval.

Answer to the Question# 6(a):

Adjusted Solvency Margin Calculation

- Reported Available Solvency Margin (ASM): BDT 250 million (before adjustments)
- Inadmissible Assets per IDRA Directive:
  - Unpaid premiums >90 days: BDT 30 million
  - Agent receivables overdue >6 months: BDT 20 million
  - Total exclusions = BDT 50 million
- Adjusted ASM: 250 million – 50 million = BDT 200 million

Solvency Ratio Check

- Net Liabilities: BDT 220 million
- Solvency Ratio = Adjusted ASM ÷ Net Liabilities
  = 200 ÷ 220 = 0.91
- Minimum Required Ratio: 1.0
- Result: BrightLife does not meet the solvency requirement after adjustment.

Dividend Compliance

Under Insurance Act 2010 and IDRA directives:

- Dividend declaration is prohibited if solvency margin falls below the prescribed minimum.
- Declaring BDT 100 million dividend would further reduce solvency, violating regulatory norms and exposing the insurer to enforcement actions.

Potential Regulatory Consequences

If BrightLife proceeds without adjustment:

- Regulatory Penalties:
  - IDRA may impose monetary fines under the Insurance Act 2010.
  - Suspension of dividend payment and restrictions on new business.
- Operational Risks:
  - Possible intervention by IDRA to restore solvency.
- Reputational Risks:
  - Loss of policyholder confidence and potential legal claims.

Hence, BrightLife must not declare the dividend until:

- Solvency margin is restored to ≥ 1.0 by injecting additional capital or improving asset quality.

Inadmissible assets are excluded from solvency calculations as per IDRA directives.

Answer to the Question# 6(b)(i):

Legality of the Discount Offered

Under the Marine Tariff Regulations issued by IDRA, insurers are prohibited from offering any form of commission, rebate, or discount outside the approved tariff structure. The discount offered by Oceanic Assurance

Ltd. to Bay Traders Consortium, although based on favorable risk factors and SME classification, constitutes a deviation from the standard tariff and is therefore prima facie non-compliant.

However, Section 17 of the Insurance Act 2010 provides a potential exception. It empowers IDRA, in consultation with the Central Rating Committee, to approve special rates under specific circumstances. This provision creates a legal pathway for insurers to seek approval for discounts based on risk-based pricing or strategic policy objectives (e.g., SME support).

Hence, the discount was not legally permissible without prior approval from IDRA and the Central Rating Committee.

Answer to the Question# 6(b)(ii):

Procedural Requirements for Availing a Discount

To lawfully offer a discount, Oceanic Assurance Ltd. should have followed these steps:

1. Submit a formal application to IDRA detailing:
    - Justification for the discount (e.g., claim-free history, SME status, volume of business).
    - Actuarial analysis supporting the risk-based pricing.
    - Impact on solvency and profitability.
2. Obtain approval from the Central Rating Committee, which reviews deviations from the tariff structure.
3. Disclose the approved rate in all policy documents and ensure compliance with reporting obligations under the Insurance Rules and IDRA Circulars.

Hence, if the insurer failed to follow the mandatory approval process, it will render the discount unauthorized.

Answer to the Question# 7(a):

Legal Framework: Weekly Holiday Requirement and 24x7 Operations:

Under Section 103 of the Bangladesh Labour Act, 2006, every worker is entitled to one full day of rest per week. However, Under section 102, the Ministry of Labour and Employment can grant exemptions for continuous process industries or essential commodity production, allowing companies like GreenLife Essentials Ltd. to operate 24/7. Such exemptions require that workers receive weekly leave by rotation, ensuring compliance with statutory rest periods. Typically issued through a Gazette Notification for six months, these exemptions can be renewed upon further application and review. Under section 102, this weekly leave may also be compensate with compensatory leave.

To obtain this exemption, GreenLife Essentials Ltd. must prepare an internal compliance plan, including a shift roster that adheres to working hour limits and ensures health and safety standards. The company may also submit a formal application detailing its justification for continuous operations, shift system, and compliance evidence. Upon Ministry review and potential inspection, a Gazette Notification may be issued, allowing the company to maintain uninterrupted production while upholding worker rights and adhering to the Bangladesh Labour Act, 2006.

Answer to the Question# 7(b)(i):

Employment Contract Formation and Modification: Under the Bangladesh Labour Act 2006, an employment contract is formed based on agreed terms relating to wages, working hours, duties, and conditions of service. Once agreed, these terms cannot be unilaterally changed by the employer if such changes are material and disadvantageous to workers.

While management has the right to organize work, changes in shift timing, workload, or job responsibilities must be reasonable and must not violate existing contractual terms. Any substantial change requires prior consultation with workers, proper notice, and, where applicable, consent or negotiation through worker representatives. Unilateral changes without due process are unlawful and unfair.

Answer to the Question# 7(b)(ii):

Lawful Termination of Employment: The Labour Act recognizes different forms of termination:

- Dismissal for misconduct requires proven charges, domestic enquiry, and opportunity for defense.
- Retrenchment must be based on surplus labor, with prior notice and statutory compensation.
- Termination simpliciter requires notice or payment in lieu of notice without stigma.

In this case, terminating employees for refusing unilateral changes does not qualify as voluntary separation. If notice, enquiry, and compensation were not provided, the actions of Sunrise Manufacturing Ltd. do not comply with statutory requirements, and the terminations are likely unlawful.

Answer to the Question# 7(b)(iii):

Worker Safety, Welfare, and Regulatory Enforcement: Under the Labour Act 2006 and Labour Rules 2015, employers must ensure:

- Functional fire exits and safety equipment
- Adequate welfare facilities
- Safe and healthy working conditions

Holding a compliance certificate does not excuse actual safety lapses. The Department of Labour has the authority to inspect factories, issue corrective orders, impose fines, suspend operations, or initiate legal action for violations. Enforcement aims to protect workers while encouraging sustainable industrial productivity through compliance rather than exploitation.

---The End---